

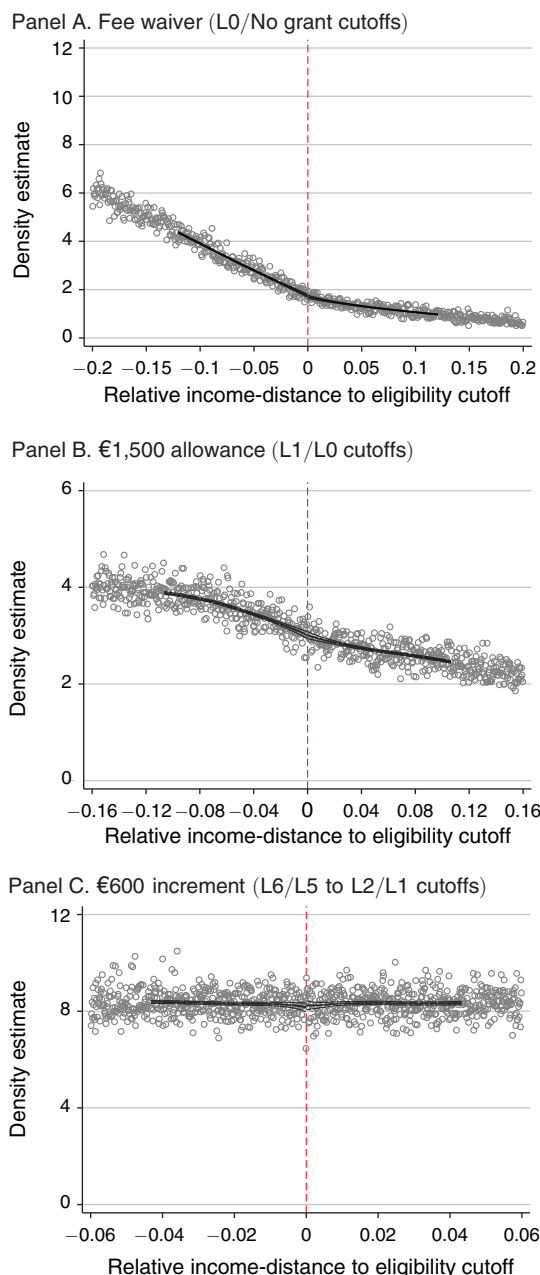


FIGURE 3. MCCRARY (2008) TEST FOR MANIPULATION OF THE ASSIGNMENT VARIABLE AT DIFFERENT INCOME ELIGIBILITY THRESHOLDS

*Notes:* The figure plots weighted kernel density estimates, performed separately on either side of income eligibility thresholds. The “fee waiver” sample includes applicants whose parental income is close to the eligibility thresholds between no grant and a level 0 grant (fee waiver only). The “1,500 euros allowance” sample includes applicants in the vicinity of the income thresholds between level 0 and level 1 grants, where students (who already qualify for the fee waiver) become eligible for an annual cash allowance of 1,500 euros. The “600 euros increment” sample includes applicants close to the income thresholds between consecutive levels of grant in the level 1 to level 6 range, where the amount of annual cash allowance increases by 600 euros on average. The x-axis is the relative distance between the applicant’s parental income and the income eligibility threshold. The vertical dashed lines identify the eligibility cutoffs. The optimal bandwidth and bin size are obtained using the selection procedure proposed by McCrary (2008).